United Airlines Holdings

FY2024 Results & 2025 Outlook

Revenue	Adjusted EPS	Employees
$57.4B	$11.44	100K+
+6.9% YoY	+12.4% YoY	Across System

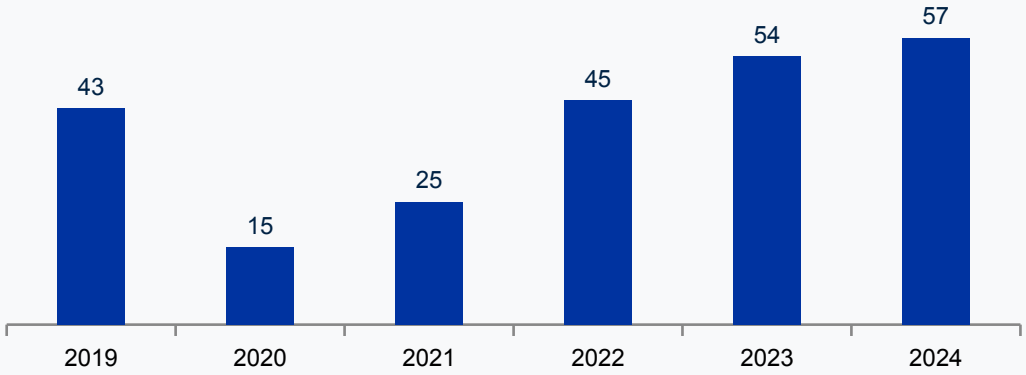
NASDAQ: UAL | March 2025

FY2024 Financial Highlights

Record revenue and earnings driven by premium demand and operational efficiency

TOTAL REVENUE	ADJUSTED EPS	PRE-TAX MARGIN	FREE CASH FLOW
$57.4B	**$11.44**	**10.1%**	**$3.6B**
+6.9% YoY	+12.4% YoY	+60 bps YoY	+16.1% YoY

Revenue Trend (FY2019-2024)



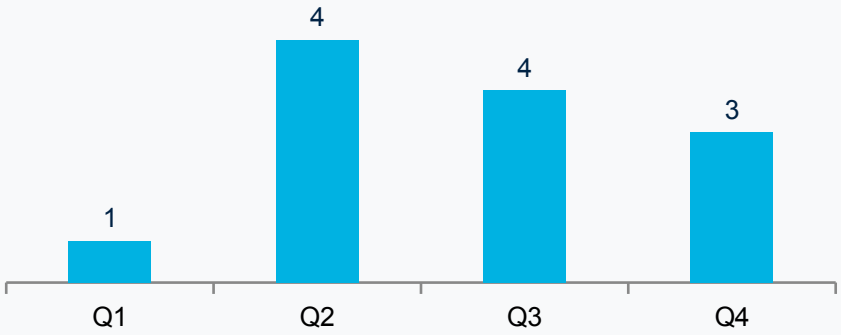
Additional Metrics

CASM-ex	11.89c	-1.6%
TRASM	18.14c	+1.8%
Load Factor	86.8%	+60 bps
Fuel/Gal	$2.81	-4.4%

FY2024 Quarterly Breakdown

Strong seasonal cadence with record Q2 summer performance

Quarter	Revenue	Adj. EPS	Pre-Tax Margin	Commentary
Q1 2024	$12.5B	$0.76	2.1%	Seasonal trough; premium mix improving
Q2 2024	**$15.2B**	**$4.43**	**12.8%**	Record summer; transatlantic peak
Q3 2024	$15.0B	$3.51	10.2%	Basic economy fare pressure domestic
Q4 2024	$14.7B	$2.74	7.8%	Holiday strength; intl resilient
FY2024	**$57.4B**	**$11.44**	**10.1%**	**Record revenue & earnings**



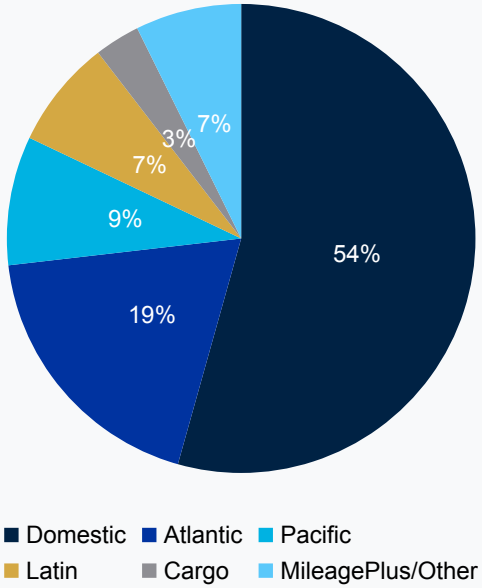
Seasonal Pattern

- Q2 dominates with summer travel demand, driving 42% of annual EPS
- Q1 seasonal trough offset by improving premium mix
- International routes show less seasonality than domestic

Revenue Composition

FY2024 revenue by region and source ($57.4B total)

By Source



Cabin Revenue Mix

Polaris (Intl Business)
$6.2B (25.4%)

Premium Plus (Intl PE)
$1.8B (7.4%)

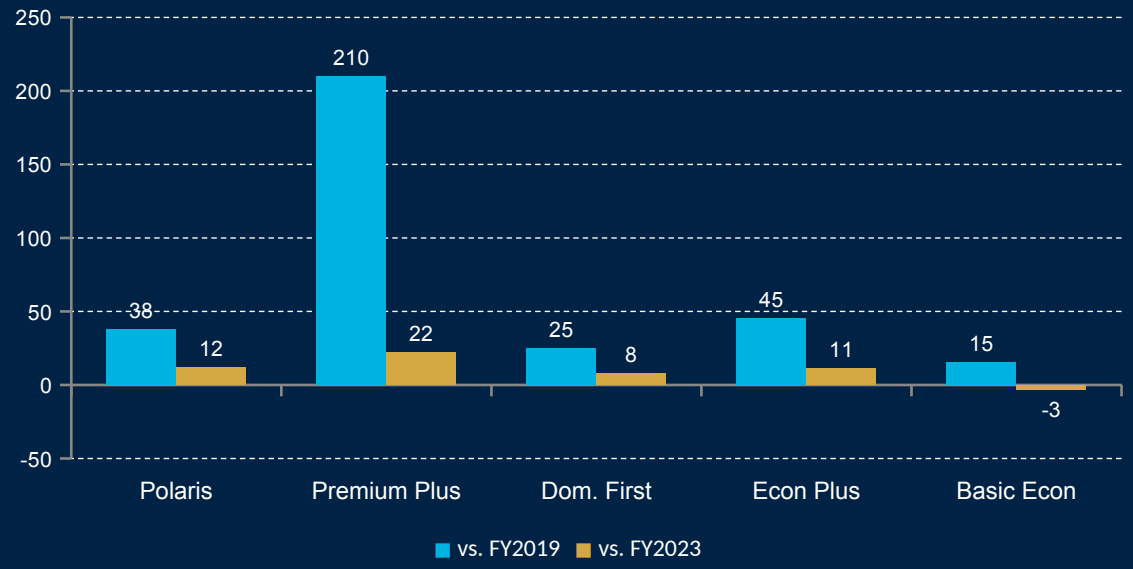
Domestic First
$4.1B (16.8%)

Economy Plus
$3.4B (13.9%)

Basic Economy
$8.9B (36.5%)

Premium Revenue Momentum

Premium cabins outpacing economy with structural demand shift



Premium Plus

+210%

vs 2019. Fastest growing cabin.

Polaris Revenue

$6.2B

International business class leader.

Basic Econ

-3% YoY

Fare pressure from ULCC competition.

Premium revenue now represents ~64% of total passenger revenue, up from ~55% in 2019

United Next: Strategy Update

Fleet transformation delivering gauge-up economics at scale

50-SEAT RJs RETIRED

220

Target: 280 by 2027

AVG SEATS/DEPARTURE

174

Up from 151 in 2019

ASM GROWTH vs 2019

+20%

Aircraft count ~flat

Strategic Pillars

- **Gauge-Up** — Replace 50-seat RJs with mainline narrowbodies, reducing unit costs by ~15% per seat
- **Premium Differentiation** — Polaris, Premium Plus, and connectivity investments driving premium revenue growth
- **Hub Dominance** — 7 hubs with $4.8B+ infrastructure investment since 2020
- **Fleet Modernization** — 895 aircraft on order; newest fleet among US Big Three by 2030

Fleet Order Book & Deliveries

895 total firm orders — largest in United's history

Aircraft	Firm Orders	Delivered	Remaining	Status
737 MAX 8	255	142	113	**In Service**
737 MAX 9	175	88	87	**In Service**
737 MAX 10	200	0	200	**Awaiting FAA Cert**
787-9	100	18	82	**Delivering (2023+)**
A321neo	120	0	120	**~2028**
A350-900	45	0	45	**~2027**
TOTAL	**895**	**248**	**647**	

Retirements in Progress

- 757-200/300: Phase-out through 2028
- 767-300ER: Replacing with 787/A350
- 777-200: Older frames, 2024-2026

Boeing Delivery Risk

FAA production cap of 38 MAX/month post-Alaska door plug incident (Jan 2024). A321neo order provides strategic hedge against Boeing delivery delays.

Hub Infrastructure Investments

$4.8B+ invested across 7 domestic hubs since 2020

EWR

Newark Terminal A

$2.7B 33 new gates

Opened 2023

ORD

O'Hare T2 Satellite

$1.2B Full renovation

In Progress

DEN

Denver Gate Expansion

$500M+ New gate complex

Phased 2024-2026

IAH

Houston Terminal

$400M Terminal improvements

In Progress

MileagePlus Loyalty Program

High-margin annuity revenue stream with significant embedded value

TOTAL MEMBERS

100M+

Accounts worldwide

ANNUAL 3RD-PARTY CASH

$5.8B

Primarily Chase co-brand

OPERATING MARGIN

~55%

Highest-margin segment

PROGRAM VALUATION

$22B

2020 collateral basis

Premier Members: 8.2M (record) | Chase co-brand extended through late 2020s | Revenue contribution growing faster than capacity

Operational Performance Dashboard

Consistent YoY improvement across all key operational metrics

	FY23		FY24		
Completion Factor	98.5%	→	**98.9 %**		Target: >99%
D:14 On-Time	79.4%	→	**81.2 %**		Target: >83%
Misconnection Rate	2.8%	→	**2.1%**		Target: <2.0%
Bag Delivery Rate	99.2%	→	**99.5 %**		Target: >99.5%

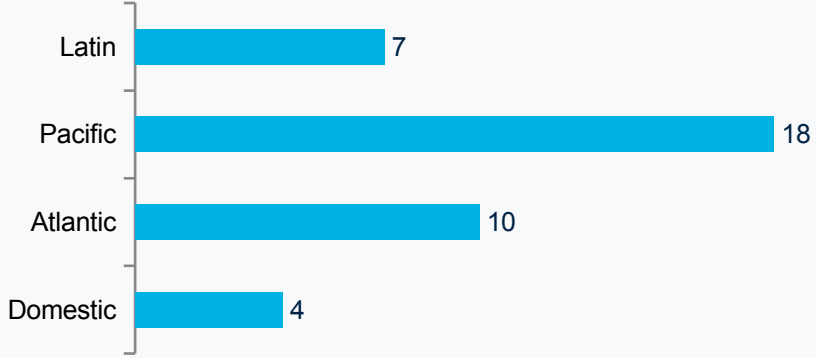
$100M+ invested in ops tech: ConnectionSaver, real-time app rebooking, proactive delay notifications

Regional Performance — FY2024

International outperforming domestic; Pacific recovery accelerating

Region	Revenue	YoY Growth	Yield Trend	Load Factor	Key Highlights
Domestic	$31.2B	**+4.2%**	Flat	85.1%	Hub-to-hub strength; basic econ pressure
Atlantic	$10.8B	**+9.8%**	+3.2%	89.4%	EWR-LHR flagship; 30+ EU destinations
Pacific	$5.1B	**+18.2%**	+5.1%	84.7%	India expansion; Japan recovery
Latin	$4.3B	**+7.1%**	+1.8%	85.9%	IAH gateway; new South America routes

YoY Revenue Growth by Region



New 2024 Routes

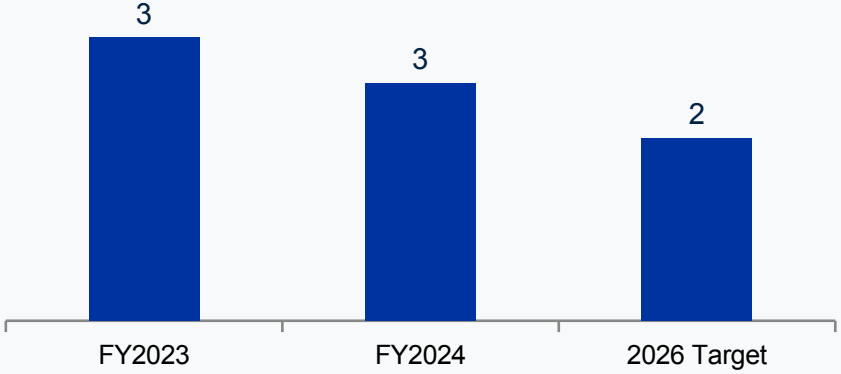
- EWR-DXB (Dubai), EWR-DEL (Delhi)
- SFO-BLR (Bangalore) — India expansion
- Malaga, Faro, Stockholm, Berlin — EU growth
- 35% of revenue now international (recession hedge)

Balance Sheet & Capital Allocation

Aggressive deleveraging path toward investment grade

TOTAL DEBT	NET DEBT	NET LEVERAGE	CREDIT RATING
$25.4B	**$18.3B**	**2.6x**	**BB+**
Down from $27.1B	Target: <$16B	Target: <2.0x	IG target by 2026

Net Leverage Trajectory



Capital Allocation Priorities

1	**Fleet Investment**	$6.5-7.0B capex in 2025
2	**Debt Reduction**	~$2B annual paydown target
3	**Share Repurchase**	$1.5B auth; ~$800M executed '24
4	**Hub Infrastructure**	Ongoing gate & terminal investment

2025 Guidance & Long-Term Targets

United Next 2026 targets represent step-change in profitability

Metric	FY2024 Actual	2025 Guidance	2026 Target
Adjusted EPS	$11.44	**$11.50 - $13.50**	**$25 - $27**
Pre-Tax Margin	10.1%	**10.5% - 12%**	**~14%**
Capacity (ASMs)	+5.0%	+3-5%	+4-6%
CASM-ex	11.89c	Flat to -1%	-2-3% cum.
CapEx	~$6.5B	$6.5 - $7.0B	$5.5 - $6.0B
Free Cash Flow	$3.6B	**$3.0 - $4.0B**	**$5.0B+**
Share Repurchase	~$800M	$1.5 - $2.0B	Accelerating

Macro Sensitivity

- Every 1% GDP contraction = ~1.5-2% revenue impact
- Premium + international + loyalty = structural recession hedge vs. domestic-heavy peers

Key Risks & Mitigations

Risk Factor	Severity	Impact	Mitigation
Boeing MAX Delivery Pace	HIGH	Fleet plan delays; capacity shortfall	A321neo hedge order; extending older frames
Domestic Fare Pressure	MEDIUM	Basic economy yields declining	Premium mix shift; loyalty revenue growth
Macroeconomic / Tariff Risk	MEDIUM	Consumer demand softening	35% intl revenue; premium diversification
Fuel Price Volatility	MEDIUM	Direct cost pressure on margins	New-gen fleet 20%+ more fuel efficient
MAX 10 Certification Timeline	HIGH	200 aircraft orders in limbo	A321neo provides fallback; older 757 extension
Labor Cost Escalation	LOW	~32% of CASM; new contracts above CPI	Gauge-up reduces crew cost per seat

Overall risk profile: MANAGEABLE | Boeing delivery risk is primary watch item; diversified revenue mix provides resilience

Sustainability & ESG

Industry-leading commitments to sustainable aviation fuel and net zero

Sustainable Aviation Fuel

- 1.5B gallon purchase agreements
- Largest airline SAF commitment globally
- Current usage <1% (supply constrained)
- Eco-Skies Alliance: 40+ corporate partners

Net Zero 2050

- Without traditional carbon offsets
- New-gen fleet 20%+ more fuel efficient
- United Airlines Ventures fund
- Investing in hydrogen & carbon capture

Portfolio Companies

- Dimensional Energy (SAF)
- Cemvita (bio-manufacturing)
- Svante (carbon capture)
- ZeroAvia (hydrogen-electric)

Appendix: Financial Summary

FY2023 vs FY2024 Key Metrics Comparison

Metric	FY2023	FY2024	YoY Change
Total Revenue	$53.7B	**$57.4B**	**+6.9%**
Adjusted EPS	$10.18	**$11.44**	**+12.4%**
Adj. Pre-Tax Income	$5.1B	**$5.8B**	**+13.7%**
Adj. Pre-Tax Margin	9.5%	**10.1%**	**+60 bps**
Adj. Operating Margin	10.8%	**11.4%**	**+60 bps**
CASM-ex (cents/ASM)	12.08	**11.89**	**-1.6%**
TRASM (cents/ASM)	17.82	**18.14**	**+1.8%**
Available Seat Miles (B)	301.3	**316.5**	**+5.0%**
System Load Factor	86.2%	**86.8%**	**+60 bps**
Fuel Cost/Gallon	$2.94	**$2.81**	**-4.4%**
Free Cash Flow	$3.1B	**$3.6B**	**+16.1%**

Balance Sheet Summary

Metric	End FY2023	End FY2024	2026 Target
Total Debt (incl. leases)	$27.1B	$25.4B	<$22B
Cash & Equivalents	$6.3B	$7.1B	$6-7B
Net Debt	$20.8B	$18.3B	<$16B